FINANCE Tax Provisioning Schedule

Q3 Corporate Tax Provision and ETR Adjustment

Vertex Pharmaceuticals Ltd. • Q3 Ended September 30, 2024

CORPORATE TAX MEMORANDUM

SUBJECT: Q3 2024 Tax Provisioning and Effective Tax Rate (ETR)
PREPARED BY: Global Tax Operations

Overview:
For the quarter ended September 30, 2024, the Company recorded an income tax expense of $34.2 million on pre-tax accounting income of $158.5 million. This translates to an annualized Effective Tax Rate (ETR) of 21.6%, representing a favorable decrease of 140 basis points compared to the 23.0% ETR reported in the corresponding prior-year period.

Key Adjustments and Variances:
The reduction in our ETR is primarily attributable to the finalization of our 2023 Federal Research and Development (R&D) Tax Credit study. The study identified $4.8 million in eligible expenditures that were previously uncaptured in our estimated provisions. This discrete tax benefit was fully recognized in the current quarter, favorably impacting the current tax payable.

Deferred Tax Assets (DTAs) and Valuation Allowance:
We performed our quarterly assessment of the realizability of deferred tax assets. The gross DTA balance currently stands at $18.4 million, largely composed of net operating loss (NOL) carryforwards from our recently acquired European subsidiary. Based on three-year cumulative profitability forecasts for the EU division, management concludes it is "more likely than not" that these DTAs will be realized. Consequently, no valuation allowance has been recorded against these assets for Q3. State apportionment factors have also been updated to reflect our expanded warehouse footprint in the Midwest.